

What these trades describe is how I use the measured move to predict how far price will recover. I use the pattern defensively for stocks I own.

I no longer try to predict where the measured move will bottom. Rather, once I see a completed measured move, I know where price will go (a rise back into the corrective phase).

- Lesson: A good place to sell a weak stock is when price bounces back to the corrective phase.

Sample Trade

People are nasty; just ask Eddy. He is an airline reservation agent. Between the company monitoring his phone calls to be sure he peddles a car and hotel when appropriate and the people screaming at him from the other end of the phone, it is a tough living. There is nothing he can do about equipment problems, lost luggage, or weather, but people do not seem to care. Even the full moon gets into the act because that is when the crazies call.

What he would really like to do is invest in the stock market. He does it now, but to a limited extent, because of a cash-flow problem. Fortunately, with a few clicks of his computer mouse he can flip to the Internet and monitor his latest stock pick when he is not busy.

That is how he uncovered the situation shown in [Figure 46.5](#). “I watched the stock climb from a low of about 10 in June 1994 [not shown] to a high of 53.63 in October 1995. Every so often, I'd draw trendlines along the bottoms and watch how the upward trend seemed to be accelerating [the trendlines grew steeper over time].”